

Authority for Personal Data
P.O. Box 93374, 2509 AJ The Hague
Bezuidenhoutseweg 30, 2594 AV The Hague
T 070 8888 500 - F 070 8888 501
autoriteitpersoonsgegevens.nl
The Minister for Climate and Energy
P.O. Box 20401
2500 EK THE HAGUE

Date

April 11, 2023

Our reference

z2023-01136

Your letter dated

February 10, 2023

Contact person

Your reference

DGBI / 26338101

Subject

Advice on the Regulation on the security assessment of investments, mergers, and acquisitions

Dear Mr. Jetten,

In a letter dated February 10, 2023, the Authority for Personal Data (AP) was consulted based on the provisions of Article 36, paragraph 4, of the General Data Protection Regulation (GDPR) regarding the draft Regulation on the security assessment of investments, mergers, and acquisitions (hereinafter: the draft).

The AP has a number of comments on the draft and advises that these be taken into account.

Scope of the draft

The draft is based on the Act on the security assessment of investments, mergers, and acquisitions (hereinafter: the Act) and the Decree on the security assessment of investments, mergers, and acquisitions (hereinafter: the Decree). The purpose of the Act is to manage risks to national security arising from investments, mergers, and acquisitions in certain vital sectors or enterprises that possess sensitive technology.¹ Several aspects of the Act and the Decree are further elaborated in the draft:

- The form to be used for a notification is established.²
- Further rules are set regarding how the notification is made.³

1 See Explanatory Memorandum, House of Representatives, 2020/21, 35 880, no. 3, p. 2.

2 Art. 1, first paragraph, of the draft.

3 Art. 2, second and third paragraphs, of the draft.

Date

April 11, 2023

Our reference

z2023-01136

2/4

- Further rules are established regarding the provision of data by the Authority for Consumers and Markets if a notification has previously been made in the context of concentration supervision under the Competition Act.⁴

- The public registers and public information used in the investigation following a notification are specified and identified.⁵

- The criminal offenses that are taken into account in assessing whether there is a risk to national

security are established.⁶

Advice

Public information

Article 4, second paragraph, of the draft specifies which public information can be consulted from which data can be used by the minister in the performance of his statutory duties. This includes annual accounts and annual reports of enterprises, public databases, media reports, websites, and social media accounts. What stands out and leads to ambiguity is that the databases referred to are 'public' databases, while the qualification 'public' is absent for the other information sources.

The AP advises amending Article 4, second paragraph, of the draft to make it clear that the other information sources also pertain to public information.

Exhaustive enumeration of information sources.

In Article 4, second paragraph, of the draft, public information is specified, and it is indicated which public sources are considered public information. Given the wording 'at least,' this refers to a non-exhaustive enumeration and is, in fact, an unqualified provision. A statutory measure must be clear and precise, and its application predictable.⁷ Due to the wording 'at least,' the application of this provision is insufficiently predictable. The explanation states that the wording 'at least' was chosen because 'the case law of the investment assessments can be diverse' and therefore it is not possible to indicate in advance exactly which public information will be used in a case.⁸ This general explanation is insufficient for including such an unqualified provision. The AP believes that it should be possible to describe all relevant types of public information sources (in general terms) and to create an exhaustive enumeration.

The AP advises removing the wording 'at least' in Article 4, second paragraph, of the draft.

4 Art. 3 of the draft.

5 Art. 4 of the draft in conjunction with Annex 2 to the draft.

6 Art. 5 of the draft in conjunction with Annex 3 to the draft.

7 See Recital 41 of the GDPR.

8 P. 6 of the draft.

Date

April 11, 2023

Our reference

z2023-01136

3/4

Public Foreign Registers

In Article 4, second paragraph, of the draft, 'public foreign registers that, in the opinion of the minister, are similar to the national registers' are considered a separate category of public information. In the case of national registers, the law stipulates that it must always involve a public register established by law, in addition to the trade register and the land registry, which are explicitly designated in the law.⁹ This limitation does not apply to foreign public registers, and it is left to the discretion of the minister to determine whether a register is 'similar' to the national registers. A further explanation in the commentary is lacking. For this reason, the AP sees a tension with the requirement that a legislative measure must be clear and precise, and its application predictable.¹⁰

The AP advises that the commentary should further elaborate on this provision and provide more clarity on when the minister finds that a register is similar or when that is not the case, or to justify why that is not possible or undesirable.

List of Offenses

The draft establishes in Appendix 3 the crimes that the minister may consider in his assessment of whether an acquisition activity may pose a risk to national security.

While the inclusion of most crimes is self-evident and various (types of) crimes from the Penal Code

are further clarified in the commentary to the draft in light of the purpose of the law,¹¹ there are also crimes on the list that raise questions. For instance, there may be cases of (minor) types of theft, causing bodily harm through negligence, destruction or damage without an apparent connection, at least not immediately clear, to the risks to national security resulting from investments, mergers, and acquisitions in certain vital sectors or companies that possess sensitive technology. Regarding offenses from the Economic Offenses Act (WED), the commentary to the draft only states that 'comparable considerations' have been made as those made and described concerning the crimes from the Penal Code,¹² but it does not specifically address the (types of) offenses from the WED included in the appendix to the draft.

The AP advises that the commentary on this point should be clarified and supplemented.

Workload

For the AP, a (limited) additional workload is anticipated because there is new legislation that results in new processing of personal data that may also be of a sensitive nature.

Disclosure of the Advice

9 Art. 34, third paragraph, of the Act

10 See Recital 41 of the GDPR.

11 P. 7 and 8 of the draft.

12 P. 8 of the draft.

Date

April 11, 2023

Our reference

z2023-01136

4/4

The AP intends to make this advice public no earlier than four weeks after the date on its website www.autoriteitpersoonsgegevens.nl. Unless otherwise notified, it assumes that there are no objections to this.

Sincerely,

Dutch Data Protection Authority,

Aleid Wolfsen

Chairman